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Rolling up your sleeves to build state capacity

Don't fix the pipes; fix the institutions that fix the pipes.

Old saying in the field of drinking water

The defining challenge in India is the construction of state capacity. At present, we are limited in our management capabilities in public policy. This imposes important restrictions upon what the state may attempt. We must focus, we must go after important market failures and avoid diffusing effort across a large number of areas. The primal functions of the state are issues like safety, which calls for building armed forces and a criminal justice system. The primal functions of the state are pure public goods like clean air. We should focus on these areas and learn how to do public administration.

There are two temptations that need to be avoided. The first is the pleasure of solving one small problem. A senior policymaker may discern a problem in an action by (say) Food Safety and Standards Authority of India (FSSAI) and may expend a great deal of time and trouble in solving it. This may be satisfying, but this is a poor use of top management time. Top management must delve deeper: Why is it that intelligent and well meaning personnel at FSSAI came up with a poor outcome? This takes us to deeper questions about incentives and processes at FSSAI.

The second temptation that should be avoided is the great man theory of history. It is all too easy to personalize the poor outcomes at an agency and look for a staffing change. Conversely, we tend to look for heroes when